UBS 2011 Rogue Trading Scandal

From Operational Failure to Treasury Decisions

EXECUTIVE BRIEFING TO THE GROUP CEO AND UBS GROUP EXECUTIVE BOARD

Corporate Treasury Management · 14 Sep–14 Dec 2011

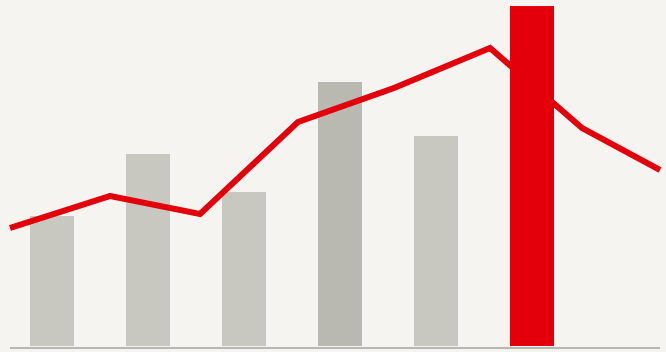
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TREASURY DECISION WINDOW

14 September → 14 December 2011

LIQUIDITY HEADROOM · CONCEPT



Protect cash capacity.
Verify exposure. Gate funding.

Source-led case analysis · proposed Treasury response, not a reconstruction of UBS daily cash flows

Executive decision: protect headroom, verify exposure, gate funding

DECISION QUESTION

How should Treasury meet UBS payment obligations over the three months after discovery?

01 FORECAST

13-week cash view

Daily in week one; then weekly. Scope by legal entity, currency and accessible buffer.

02 VERIFY

Positions & collateral

Reconcile external trades, settlement dates, collateral calls / releases and open breaks.

03 PREPARE

Conditional backstop

Stage confirmed funding sources; draw only if forecast headroom breaches policy buffer.

Request today: authorise the verified cash forecast and contingency readiness. The reported USD 2.3bn loss does not, by itself, establish a same-day funding gap.

Presenters: Introduction — Paul Alain · Company / incident — Calvin · Cash — Jules · Quant — Elias · Risk — Paul Alain · CFO actions — Jules · Conclusion — Calvin

Sources: [1] FINMA Summary Report; [2] FSA Final Notice. Funding triggers are proposed management actions.

Liquidity is a timing problem—not a synonym for profit

CLIENTS & MARKETS

Fees · settlement receipts

→

UBS BUSINESSES

Investment Bank + other divisions

→

PAYMENT RAILS

Settlement · collateral · maturities

→

TREASURY

Cash by entity, currency & time

CASH IN

- Client and market receipts
- Trading settlements due to UBS
- Funding proceeds and asset maturities

CASH OUT

- Withdrawals and lending commitments
- Trade settlement and collateral calls
- Debt maturities and operating payments

Only cash that is accessible in the right entity, currency and time can meet an obligation.

Source: [1] FINMA report §§6–10; simplified Treasury cash-cycle diagram (not a UBS ledger).

Discovery, disclosure and containment were different moments

14 SEP 2011

UBS identifies unauthorised positions; Adoboli arrested.

15 SEP 2011

UBS publicly estimates ~USD 2bn; says no client positions affected.

18 SEP 2011

UBS states the positions are covered; equities business within limits.

25 OCT 2011

CHF 1.849bn P&L + CHF 102m FX translation; CHF 1.951bn total (~USD 2.229bn).



Kweku Adoboli · press image
User-supplied classroom material

Later hindsight: regulators published detailed findings in 2012; keep these separate from the information available to Treasury at discovery.

The reported USD 2.3bn loss is not the same thing as a same-day cash funding gap.

Sources: [1] FINMA; [2] FSA; [3] UBS 2011 announcement record. Press image supplied by user; attribution / reuse rights to verify.

Fictitious offsets hid real market exposure in the control systems

REAL POSITIONS

Large index futures
Real market exposure
Real gains / losses

→

FALSE OFFSETTING ENTRIES

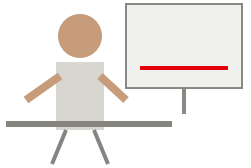
One-sided internal futures
Late booking of real trades
Fictitious
deferred-settlement ETFs

→

APPARENT CONTROL VIEW

Reported risk looked offset
Reported P&L could be smoothed
Breaks and alerts were not escalated

The “hedges” had no economic reality and no external risk position: they changed the system picture, not the underlying market exposure.



ILLUSTRATIVE TRADER

Sources: [1] FINMA §§11–18; [2] FSA §§23–25.

The failure was a chain across supervision, systems and escalation

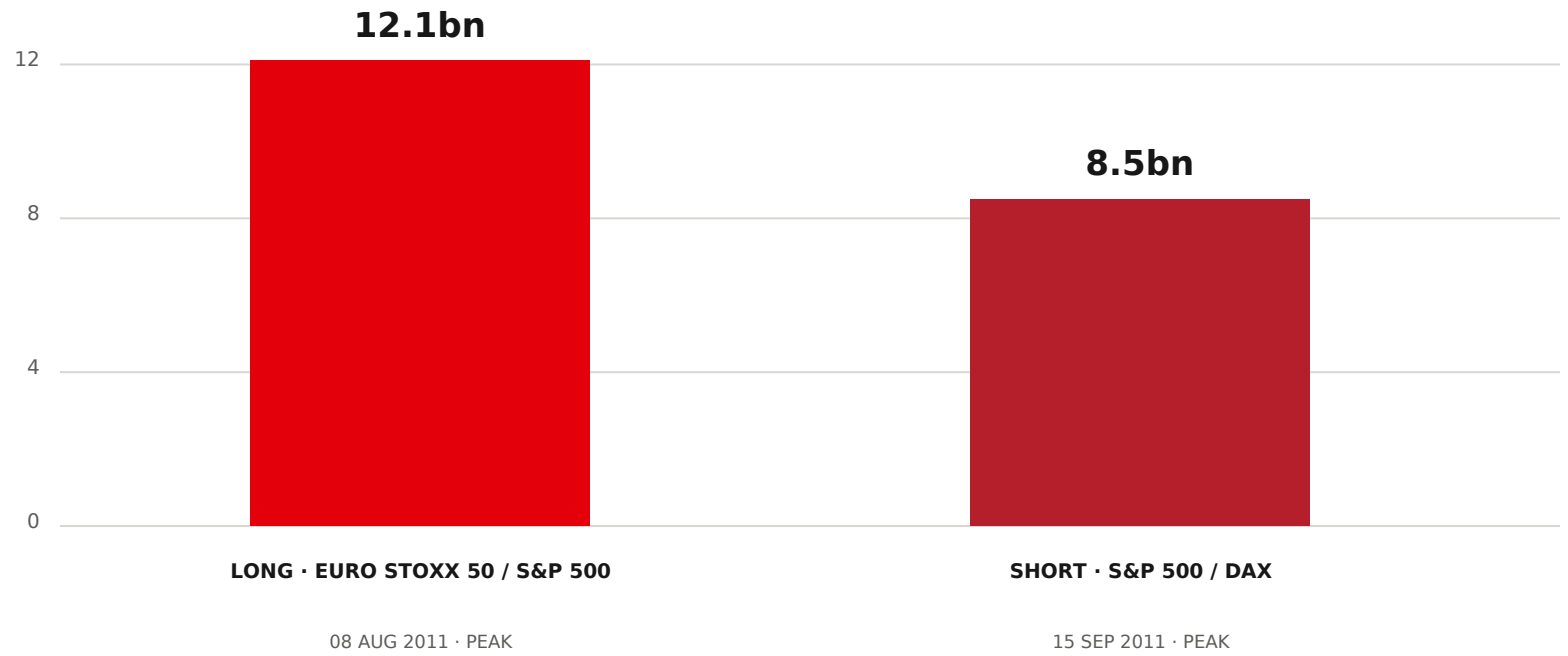
SUPERVISION	Desk transfer to GSE was not matched by a clear local handover; the new supervisor was in New York.
SYSTEMS	Futures data / cancelled-amended-late trade alerts were incomplete or routed incorrectly.
OPERATIONS	Large reconciliation breaks and explanations were accepted without timely challenge or escalation.
P&L CONTROL	Material P&L adjustments and fictitious trades were processed without adequate independent scrutiny.

Regulatory conclusion: warning signs existed; control functions did not assemble them into a timely challenge.

Sources: [1] FINMA §§23–41; [2] FSA §§26–42.

FINMA reported two large gross-notional peaks—and a USD 2.3bn loss

Reported futures position peaks (USD billions notional)



FINAL REPORTED LOSS

USD 2.3bn

Gross notional is not the same measure as P&L, net delta or liquidity need.

USD 2.1bn of the final loss arose from the long positions; the short positions were closed after discovery.

Source: [1] FINMA Summary Report §11. Bars show reported gross notional peaks—not P&L or net-delta risk.

A trading loss can transmit to cash—but not dollar for dollar on day one

1 PERMANENT

Realised trading loss
Investigation / remediation
Reported USD 2.3bn total

ECONOMIC LOSS

2 TEMPORARY

Settlement timing
Collateral posted then returned
Funding cash tied up

CASH TIMING

3 CONTINGENT

Withdrawal / confidence pressure
Funding rollover repricing
Counterparty terms

STRESS SCENARIO

Treasury implication: model the timing and recoverability of each cash item. Do not deduct the USD 2.3bn headline again if the same close-out settlement is already included.

Sources: [1] FINMA position close-out; [3] UBS states risk was covered. Potential cash channels are scenarios unless verified.

Build a 13-week cash view from accessible—not total—cash

CLOSING CASH = OPENING ACCESSIBLE CASH + RECEIPTS − PAYMENTS + CONFIRMED FUNDING

Funding gap = max(0, minimum buffer − pre-funding cash)

OPENING

Accessible cash by entity / currency

BASELINE

Receipts, contractual payments, maturities

INCIDENT

Trade settlements, collateral posted / returned

BUFFER

Minimum liquidity buffer and policy rationale

FUNDING

Confirmed source, amount, timing, conditions

Perimeter discipline: cash trapped in another legal entity, currency or settlement window is not immediately available headroom.

PUBLISHED FACTS | DERIVED CALCULATIONS | MODEL ASSUMPTIONS

Model design; actual UBS daily cash ledger and entity-level liquidity inputs are not public in the sources reviewed.

Use the cash bridge; UBS’s daily funding gap is not public

MODEL LINE	WHAT TO LOAD	CONTROL AGAINST DOUBLE COUNT
Opening accessible liquidity	Cash by entity, currency and 14 Sep cut-off	Do not use consolidated cash as a proxy.
Scheduled receipts / payments	Settlement calendar, maturities, operating obligations	Carry forward prior-period closing cash.
Incident settlement	Trade-level close-out and settlement cash dates	Do not subtract the headline loss twice.
Collateral movements	Calls, releases, haircut and return dates	Separate posted cash from recoverable collateral.
Funding and buffer	Committed sources, execution time, policy minimum	Count only sources accessible before the breach.

Deliverable from the model: lowest cash, first buffer-breach date, peak funding gap, and whether funding can arrive in time.

Evidence note: public reports establish the loss and close-out, not the Treasury’s daily accessible-cash ledger.

Stress timing and access—not just the size of the loss

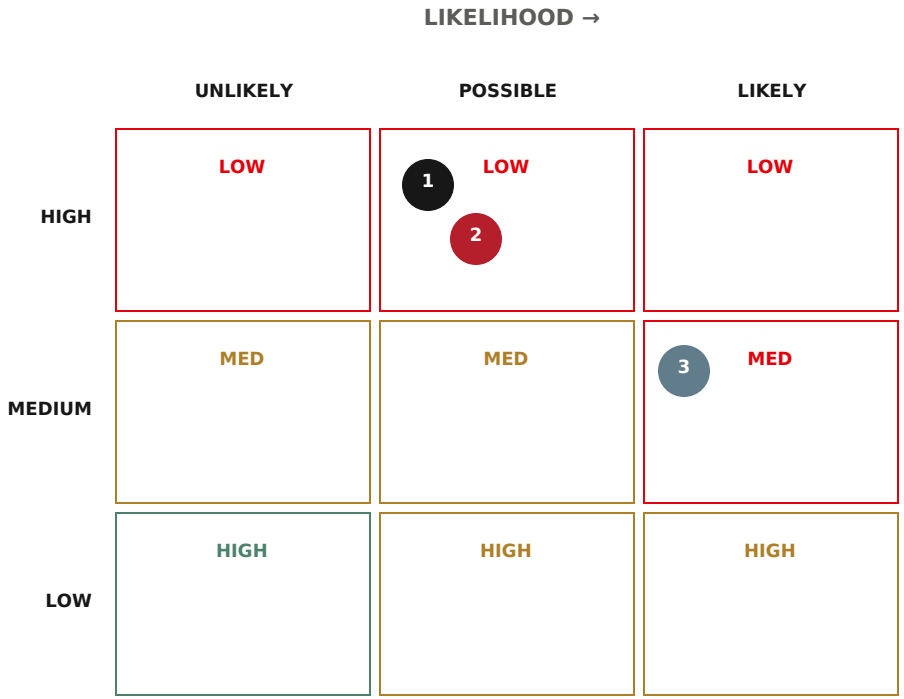
BASE	Normal settlement timing; collateral returned as scheduled; funding rolls as contracted.
SETTLEMENT	Close-out cash need arrives earlier or is larger than the base schedule.
COLLATERAL	Return of posted collateral is delayed; haircut or dispute reduces near-term availability.
CONFIDENCE	Partial funding non-renewal plus faster client cash outflows.

REPORT THE SAME FOUR OUTPUTS IN EVERY CASE

Minimum cash · Buffer breach date · Peak funding gap · Funding lead-time shortfall

Stress cases are analytical assumptions; calibrate with Treasury data before presenting numeric outputs.

Prioritise the residual risks that could breach the buffer



P1 **Residual hidden / unreconciled positions**

High impact · possible

P2 **Settlement or collateral shortfall**

High impact · possible

P3 **Funding rollover / confidence**

Medium impact · likely

Scoring basis: likelihood over the 3-month horizon × impact on liquidity headroom; the incident itself is known, future residual exposure is what is scored.

Illustrative management scoring (1–3), not UBS or regulator ratings; recalibrate with the cash model and post-close-out facts.

Action 1 · Secure verified liquidity before any modelled breach

GROUP TREASURER · 24-hour initial cash verification · Daily 13-week forecast

BENEFIT

Know the lowest cash point and exact timing of any buffer breach.

CONSTRAINT

Entity / currency accessibility, collateral eligibility, execution lead time.

FALLBACK

Pre-approved secured funding or other confirmed source—only if available in time.

Trigger: pre-funding cash forecast falls below the policy buffer before a committed source can settle.

Owner, deadlines, benefits and fallback are proposed actions—not historical UBS facts.

Actions 2–3 · contain the position risk, then make concealment harder

02 CONTAIN & RECONCILE

Owner: Investment Bank COO + Market Risk + Treasury

Immediately reconcile external positions, unmatched trades, breaks and collateral.
Benefit: reduce uncertainty in cash obligations.
Constraint: close-out liquidity and settlement timing.
Fallback: conservative liquidity overlay until reconciled.

03 REBUILD CONTROL EVIDENCE

Owner: CRO + COO; Internal Audit validates

Independent trade confirmation; C/A/L exception escalation; limit-breach challenge; clear desk supervision.
Benefit: detect and stop concealed exposure earlier.
Constraint: systems, staffing and change time.
Fallback: dual sign-off, manual reconciliation and tighter limits.

Proposed actions aligned to regulator findings [1]–[2].

CFO decision: protect headroom, but do not confuse loss with cash need

The USD 2.3bn trading loss is established. A breach of payment capacity is not established by that figure alone.

DAILY · FIRST WEEK	Accessible cash · settlement queue · collateral due / returned · unresolved trades
WEEKLY · TO 14 DEC	Buffer headroom · funding maturities · forecast variance · stress funding lead time
ESCALATE WHEN	Forecast cash < buffer; unresolved material break; exposure / settlement is not reconciled

Decision rule: act on the timing of the forecast funding gap; preserve a verified backstop and close the control loop.

Conclusion is based on disclosed loss and controls; actual daily Treasury cash position remains unpublished.

Evidence register · what is known, what is modelled

[1] FINMA	Summary Report: UBS London trading losses, 21 Nov 2012. Position peaks, concealment methods, risk-control findings.	OPEN SOURCE ↗
[2] FSA / FCA	Final Notice: UBS AG, 25 Nov 2012. USD 2.3bn loss, desk limits, and control failings.	OPEN SOURCE ↗
[3] UBS	Supplement No. 2, 11 Oct 2011. Initial estimate, later USD 2.3bn update; risk covered by 18 Sep.	OPEN SOURCE ↗
[4] UBS	Third Quarter 2011 results / presentation materials, 25 Oct 2011. CHF / USD reported loss components.	OPEN SOURCE ↗

Data integrity: reported facts are cited; model equations are derived; cash balances, daily flows, and any normalised exposure path must be supplied or labelled as assumptions. The user-supplied press image’s reuse rights should be checked before publication.